

EQUITY: HANDSETS

Highly sensitive to CPO FAU growth

CPO on track, likely to contribute c.18% of 2028F earnings; but near-term Apple demand could be lighter

Action: Maintain Buy; TP raised to TWD8,300, implying ~23% upside

We reiterate Buy on Largan, and raise our TP to TWD8,300, based on 30x 2028F EPS of TWD276.7 (previously: TWD6,000, on 25x 2028F EPS of TWD240.0). We cut our earnings forecasts by 7.2% and 10.4% for 2026F and 2027F, respectively, to reflect the adverse impact of rising BOM costs on smartphone demand and potential cannibalization of the 18 Pro series by the iPhone Duo. For the first time we incorporate the co-packaged optics fiber array unit (CPO FAU) revenue into our earnings model, by assuming **the new business would contribute 1%/18% of 2027/28F earnings**. Hence, our 2028F earnings imply 44% y-y growth, driven by CPO FAU and Apple's (AAPL US, Not rated) camera upgrades. We raise our target P/E from 25x to 30x to reflect Largan's smooth progress in CPO FAU and a higher sensitivity to its earnings. **Every one million units of CPO FAU could contribute c.TWD10 EPS to Largan**, in our calculation. The target P/E of 30x exceeds the high end of the stock's historical trading band (10-25x) since 2015. Largan trades at 35x 2027F P/E.

CPO FA/FAU progress on track

As we highlighted in *June* and *July*, Largan can offer a full-range of CPO FAU components and modules, including prism/microlens array (PMLA), FA, and FAU, and has the strength to fully automate the FA and FAU assembly process by leveraging its strong internal machine tool capability. By doing so, Largan's time-to-market and cost structures for FA and FAU assembly should be competitive vs peers. **We estimate the total CPO FAU market could grow from less than 5mn units in 2027F to 30-40mn units in 2028F, and we expect Largan's market share to be at 10%/15% in 2027/28F (Fig. 1)**. We assume the ASP to be over USD100, as its major customer will likely prefer Largan to handle FA/FAU assembly rather than just supply components. **We believe its fully-automated pilot run line was ready by end-3Q26, and the first MP line could be ready by 1H27F**.

Apple: Sunny's market share loss and continued camera upgrades in 2027-28F

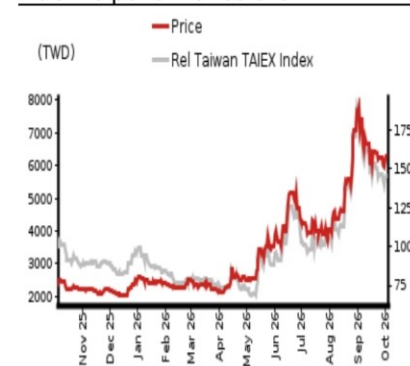
Sunny (2382 HK, Neutral) earlier faced some yield issues with the new variable aperture (VA) main camera lens for the iPhone 18 Pro series, and this could benefit Largan and Genius (3406 TT, Buy). However, given the headwinds of rising memory costs and the potential cannibalization of the 18 Pro series by the iPhone Duo, we see slower iPhone lens shipments from end-2026F to 1H27F, before the 20th anniversary iPhone (Pro Max) and the second-gen iPhone Duo are introduced in 2H27F. We expect a further upgrade in iPhone Pro's main camera in 2H27F, and introduction of a new periscope camera for the Pro Max in 2H28F.

Year-end 31 Dec	FY25	FY26F	FY27F	FY28F			
Currency (TWD)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	61,148	65,936	62,214	72,266	67,797	80,815	97,580
Reported net profit (mn)	21,275	24,968	23,188	28,070	25,150	31,381	36,188
Normalised net profit (mn)	21,275	24,968	23,188	28,070	25,150	31,381	36,188
FD normalised EPS	159.40	190.75	177.11	214.68	192.28	240.01	276.67
FD norm. EPS growth (%)	-17.9	19.7	11.1	12.5	8.6	11.8	43.9
FD normalised P/E (x)	42.2	–	38.0	–	35.0	–	24.3
EV/EBITDA (x)	24.3	–	23.5	–	21.0	–	14.7
Price/book (x)	4.8	–	4.5	–	4.3	–	3.9
Dividend yield (%)	1.3	–	1.4	–	1.5	–	1.7
ROE (%)	11.4	13.1	12.0	14.2	12.3	14.8	16.4
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash	net cash	net cash

Source: Company data, Nomura estimates

Rating	Buy
Remains	
Target price	TWD 8,300.00
Increased from	TWD 6,000.00
Closing price	TWD 6,730.00
5 October 2026	
Implied upside	+23.3%
Market Cap (USD mn)	27,682.3
ADT (USD mn)	405.4

Relative performance chart



Source: LSEG, Nomura

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Key data on Largan Precision

Performance

(%)	1M	3M	12M		
Absolute (TWD)	-9.1	59.1	182.2	M cap (USDmn)	27,682.3
Absolute (USD)	-9.6	59.7	169.6	Free float (%)	69.6
Rel to Taiwan	-13.2	55.5	101.0	3-mth ADT (USDmn)	405.4
TAIEX Index					

Income statement (TWDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	59,458	61,148	62,214	67,797	97,580
Cost of goods sold	-28,248	-30,311	-31,334	-34,026	-48,665
Gross profit	31,209	30,837	30,880	33,772	48,915
SG&A	-7,177	-7,279	-7,644	-8,352	-9,999
Employee share expense	0	0	0	0	0
Operating profit	24,033	23,558	23,236	25,420	38,916
EBITDA	30,262	31,290	32,201	36,026	51,389
Depreciation	-6,230	-7,732	-8,965	-10,606	-12,473
Amortisation	0	0	0	0	0
EBIT	24,033	23,558	23,236	25,420	38,916
Net interest expense	4,404	4,259	4,345	4,800	4,800
Associates & JCEs	117	212	151	80	80
Other income	3,621	-2,129	771	800	800
Earnings before tax	32,174	25,900	28,503	31,100	44,596
Income tax	-5,963	-4,340	-5,206	-5,950	-8,408
Net profit after tax	26,211	21,560	23,297	25,150	36,188
Minority interests	-296	-285	-109	0	0
Other items	0	0	0	0	0
Preferred dividends	0	0	0	0	0
Normalised NPAT	25,915	21,275	23,188	25,150	36,188
Extraordinary items	0	0	0	0	0
Reported NPAT	25,915	21,275	23,188	25,150	36,188
Dividends	-10,811	-11,412	-12,446	-13,828	-15,013
Transfer to reserves	15,104	9,864	10,742	11,322	21,175

Valuations and ratios

Reported P/E (x)	34.7	42.2	38.0	35.0	24.3
Normalised P/E (x)	34.7	42.2	38.0	35.0	24.3
FD normalised P/E (x)	34.7	42.2	38.0	35.0	24.3
Dividend yield (%)	1.2	1.3	1.4	1.5	1.7
Price/cashflow (x)	28.4	34.4	27.2	30.5	26.5
Price/book (x)	4.9	4.8	4.5	4.3	3.9
EV/EBITDA (x)	25.3	24.3	23.5	21.0	14.7
EV/EBIT (x)	31.8	32.2	32.6	29.8	19.4
Gross margin (%)	52.5	50.4	49.6	49.8	50.1
EBITDA margin (%)	50.9	51.2	51.8	53.1	52.7
EBIT margin (%)	40.4	38.5	37.3	37.5	39.9
Net margin (%)	43.6	34.8	37.3	37.1	37.1
Effective tax rate (%)	18.5	16.8	18.3	19.1	18.9
Dividend payout (%)	41.7	53.6	53.7	55.0	41.5
ROE (%)	14.8	11.4	12.0	12.3	16.4
ROA (pretax %)	25.4	22.9	21.3	21.2	28.7

Growth (%)

Revenue	21.7	2.8	1.7	9.0	43.9
EBITDA	30.3	3.4	2.9	11.9	42.6
Normalised EPS	44.8	-17.9	11.1	8.6	43.9
Normalised FDEPS	44.8	-17.9	11.1	8.6	43.9

Source: Company data, Nomura estimates

Cashflow statement (TWDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	30,262	31,290	32,201	36,026	51,389
Change in working capital	-948	-1,472	1,409	-3,482	-10,573
Other operating cashflow	2,264	-3,738	-1,181	-3,637	-7,621
Cashflow from operations	31,579	26,080	32,430	28,908	33,195
Capital expenditure	-11,126	-12,338	-10,807	-13,500	-14,000
Free cashflow	20,453	13,743	21,622	15,408	19,195
Reduction in investments	-7,374	-1,704	-657	0	0
Net acquisitions	0	0	0	0	0
Dec in other LT assets	0	0	0	0	0
Inc in other LT liabilities	0	0	0	0	0
Adjustments	2,434	4,805	653	0	0
CF after investing acts	15,512	16,845	21,619	15,408	19,195
Cash dividends	-10,811	-11,412	-12,446	-13,828	-15,013
Equity issue	0	0	0	0	0
Debt issue	212	-212	0	0	0
Convertible debt issue	0	0	0	0	0
Others	1,255	-2,937	-4,133	0	0
CF from financial acts	-9,344	-14,561	-16,579	-13,828	-15,013
Net cashflow	6,168	2,283	5,040	1,579	4,182
Beginning cash	107,940	113,658	115,942	120,982	122,561
Ending cash	113,658	115,942	120,982	122,561	126,743
Ending net debt	-113,455	-115,942	-120,982	-122,561	-126,743

Balance sheet (TWDmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	113,658	115,942	120,982	122,561	126,743
Marketable securities	9,961	15,353	16,372	16,372	16,372
Accounts receivable	11,307	11,454	12,534	15,134	23,093
Inventories	5,733	6,713	9,593	11,551	17,359
Other current assets	5,105	4,823	5,378	5,378	5,378
Total current assets	145,764	154,285	164,858	170,996	188,945
LT investments	12,460	8,517	10,290	10,370	10,450
Fixed assets	46,936	51,472	53,877	56,771	58,298
Goodwill	0	0	0	0	0
Other intangible assets	0	0	0	0	0
Other LT assets	11,367	6,512	7,086	10,375	15,190
Total assets	216,527	220,787	236,111	248,512	272,883
Short-term debt	203	0	0	0	0
Accounts payable	25,100	25,243	27,494	27,494	27,494
Other current liabilities	5,275	4,506	8,177	9,255	12,449
Total current liabilities	30,578	29,749	35,671	36,748	39,943
Long-term debt	0	0	0	0	0
Convertible debt	0	0	0	0	0
Other LT liabilities	561	171	201	203	205
Total liabilities	31,139	29,919	35,872	36,951	40,148
Minority interest	1,869	2,001	1,946	1,946	1,946
Preferred stock	0	0	0	0	0
Common stock	1,335	1,335	1,335	1,335	1,335
Retained earnings	148,623	153,570	159,110	170,432	191,607
Proposed dividends	0	0	0	0	0
Other equity and reserves	33,561	33,963	37,848	37,848	37,848
Total shareholders' equity	183,519	188,867	198,293	209,614	230,789
Total equity & liabilities	216,527	220,787	236,111	248,512	272,883

Liquidity (x)

Current ratio	4.77	5.19	4.62	4.65	4.73
Interest cover	-	-	-	-	-

Leverage

Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash

Per share

Reported EPS (TWD)	194.17	159.40	177.11	192.28	276.67
Norm EPS (TWD)	194.17	159.40	177.11	192.28	276.67
FD norm EPS (TWD)	194.17	159.40	177.11	192.28	276.67
BVPS (TWD)	1,375.00	1,415.07	1,485.69	1,570.52	1,729.17
DPS (TWD)	81.00	85.50	93.25	103.61	112.48

Activity (days)

Days receivable	68.7	67.9	70.4	74.5	71.7
Days inventory	66.7	74.9	95.0	113.4	108.7
Days payable	313.2	303.1	307.2	294.9	206.8
Cash cycle	-177.8	-160.2	-141.8	-107.0	-26.4

Source: Company data, Nomura estimates

Company profile

Largan is a technology leader in handset camera lenses, and is currently Top 2 plastic lens maker in the world.

Valuation Methodology

Our TP of TWD8,300 is based on 30x 2028F EPS of TWD276.7. Our target P/E of 30x exceeds the high end of the stock's historical trading band (10-25x) since 2015. The benchmark index for the stock is TAIEX.

Risks that may impede the achievement of the target price

Downside risks: 1) weaker-than-expected sales of iPhones and Android phones; 2) level of inventory correction by Chinese customers; 3) higher-than-expected ASP/margin erosion; 4) slower-than-expected spec upgrades; 5) increased competition, causing market share loss; and 6) worse-than-expected production yields.

ESG

Largan focuses on resource recycling and voluntarily reported green house gas emission through attending ISO14064 in 2020. Largan has achieved 90%+ water recycling and targets to save 1% electricity every year.

Fig. 1: Our estimates of CPO market and earnings contribution to Largan

nVidia	2027F	2028F
Rubin Ultra (mn units)	2.0	10.0
% of NVL576 in total	70%	70%
% of CPO	30%	50%
% of NPO	70%	50%
# of CPO/NPO OE per GPU	4.8	4.8
# of CPO OE (mn units)	2.0	16.8
# of NPO (mn units)	4.7	16.8
Feynman (mn units)		2.0
% of NVL576 in total		70%
% of CPO		60%
% of NPO		40%
# of CPO/NPO OE per GPU		6.8
# of CPO OE (mn units)		5.7
# of NPO (mn units)		3.8
Total CPO OE (mn units)	2.0	22.5
nVidia's market share in CPO	95%	90%
Yield loss, buffer, or inventory for CPO FAU	60%	40%
Total CPO OE FAU (mn units)	3.4	35.0
Largan's share	10%	15%
Largan's units (mn units)	0.34	5.25
Largan's ASP (USD)	100	125
Largan's revenue (TWD mn)	1,076	20,814
Largan's GM %	45%	50%
EPS contribution to Largan (TWD)	2.3	50.3
CPO contribution % in EPS	1.2%	18.2%

Source: Nomura estimates

Fig. 2: Largan – earnings forecast revisions

TWDmn	New forecasts			Previous forecasts			Change (%)		
	2026F	2027F	2028F	2026F	2027F	2028F	2026F	2027F	2028F
Revenue	62,214	67,797	97,580	65,936	72,266	80,815	(5.6)	(6.2)	20.7
Gross profit	30,880	33,772	48,915	33,190	37,407	42,040	(7.0)	(9.7)	16.4
Operating profit	23,236	25,420	38,916	25,407	29,013	33,108	(8.5)	(12.4)	17.5
Pretax profit	28,503	31,100	44,596	30,674	34,693	38,788	(7.1)	(10.4)	15.0
Net profit	23,188	25,150	36,188	24,968	28,070	31,381	(7.1)	(10.4)	15.3
EPS (TWD)	177.1	192.3	276.7	190.8	214.7	240.0	(7.2)	(10.4)	15.3
Margins (%)									
Gross margin	49.6	49.8	50.1	50.3	51.8	52.0	(0.7)	(1.9)	(1.9)
Operating margin	37.3	37.5	39.9	38.5	40.1	41.0	(1.2)	(2.7)	(1.1)
Pretax margin	45.8	45.9	45.7	46.5	48.0	48.0	(0.7)	(2.1)	(2.3)
Net margin	37.3	37.1	37.1	37.9	38.8	38.8	(0.6)	(1.7)	(1.7)

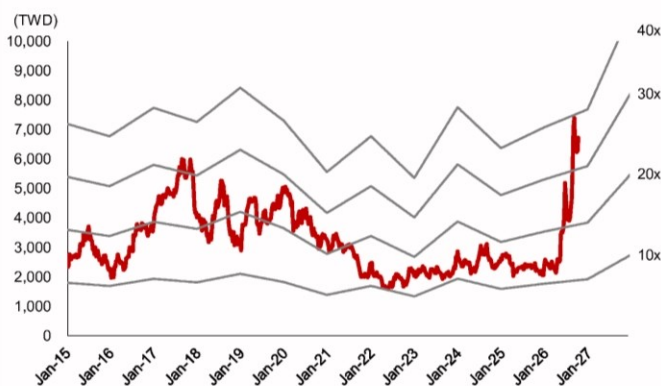
Source: Nomura estimates

Fig. 3: Largan – quarterly financial forecasts

(TWDmn)	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26	3Q26F	4Q26F	2026F	1Q27F	2Q27F	3Q27F	4Q27F	2027F	2028F
Net revenue	14,579	11,673	17,677	17,219	61,148	15,544	13,665	15,651	17,354	62,214	14,233	13,984	18,625	20,955	67,797	97,580
COGS	6,615	5,413	9,325	8,958	30,311	7,865	6,912	7,924	8,633	31,334	7,281	7,014	9,334	10,396	34,026	48,665
Gross profit	7,965	6,260	8,352	8,260	30,837	7,680	6,753	7,727	8,721	30,880	6,952	6,970	9,290	10,558	33,772	48,915
Op expenses	1,878	1,381	2,088	1,932	7,279	1,867	1,605	2,031	2,140	7,644	1,891	1,795	2,265	2,400	8,352	9,999
Op profit	6,086	4,879	6,265	6,329	23,558	5,812	5,148	5,695	6,580	23,236	5,061	5,175	7,025	8,159	25,420	38,916
Non-op profit	1,630	(3,085)	1,890	1,907	2,342	1,476	951	1,420	1,420	5,267	1,420	1,420	1,420	1,420	5,680	5,680
Pretax profit	7,716	1,794	8,155	8,236	25,900	7,288	6,099	7,115	8,000	28,503	6,481	6,595	8,445	9,579	31,100	44,596
Net profit	6,443	1,032	7,080	6,720	21,275	6,123	4,670	5,835	6,560	23,188	5,314	5,056	6,925	7,854	25,150	36,188
EPS (TWD)	48.3	7.7	53.0	50.3	159.4	46.6	35.7	44.6	50.2	177.1	40.6	38.7	52.9	60.1	192.3	276.7
Operating ratios (%)																
Gross margin	54.6%	53.6%	47.2%	48.0%	50.4%	49.4%	49.4%	49.4%	50.3%	49.6%	48.8%	49.8%	49.9%	50.4%	49.8%	50.1%
Operating margin	41.7%	41.8%	35.4%	36.8%	38.5%	37.4%	37.7%	36.4%	37.9%	37.3%	35.6%	37.0%	37.7%	38.9%	37.5%	39.9%
Pretax profit margin	52.9%	15.4%	46.1%	47.8%	42.4%	46.9%	44.6%	45.5%	46.1%	45.8%	45.5%	47.2%	45.3%	45.7%	45.9%	45.7%
Net profit margin	44.2%	8.8%	40.1%	39.0%	34.8%	39.4%	34.2%	37.3%	37.8%	37.3%	37.3%	36.2%	37.2%	37.5%	37.1%	37.1%
Year-to-year (%)																
Net revenue	29%	6%	-7%	-5%	3%	7%	17%	-11%	1%	2%	-8%	2%	19%	21%	9%	44%
Gross profit	43%	18%	-12%	-24%	-1%	-4%	8%	-7%	6%	0%	-9%	3%	20%	21%	9%	45%
Operating profit	54%	25%	-20%	-24%	-2%	-5%	6%	-9%	4%	-1%	-13%	1%	23%	24%	9%	53%
Pretax profit	4%	-69%	4%	-26%	-20%	-6%	240%	-13%	-3%	10%	-11%	8%	19%	20%	9%	43%
Net profit	5%	-77%	7%	-23%	-18%	-5%	352%	-18%	-2%	9%	-13%	8%	19%	20%	8%	44%
Qtr-to-Qtr (%)																
Net revenue	-20%	-20%	51%	-3%		-10%	-12%	15%	11%		-18%	-2%	33%	13%		
Gross profit	-26%	-21%	33%	-1%		-7%	-12%	14%	13%		-20%	0%	33%	14%		
Operating profit	-27%	-20%	28%	1%		-8%	-11%	11%	16%		-23%	2%	36%	16%		
Pretax profit	-30%	-77%	355%	1%		-12%	-16%	17%	12%		-19%	2%	28%	13%		
Net profit	-26%	-84%	586%	-5%		-9%	-24%	25%	12%		-19%	-5%	37%	13%		

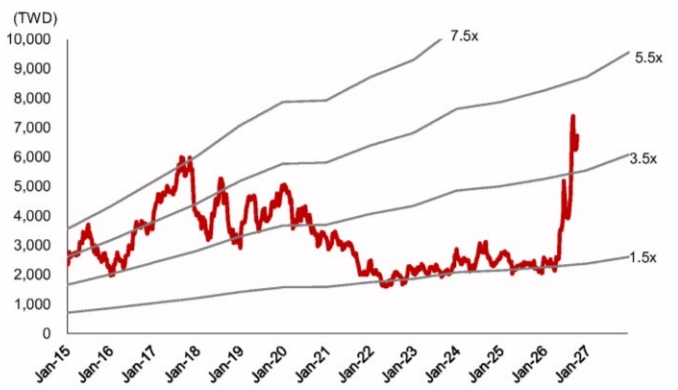
Source: Company data, Nomura estimates

Fig. 4: Largan – P/E band



Source: TEJ, Nomura estimates

Fig. 5: Largan – P/B band



Source: TEJ, Nomura estimates

Appendix A-1

This report has been produced by Nomura International (Hong Kong) Ltd., Taipei Branch (NITB), Taiwan.

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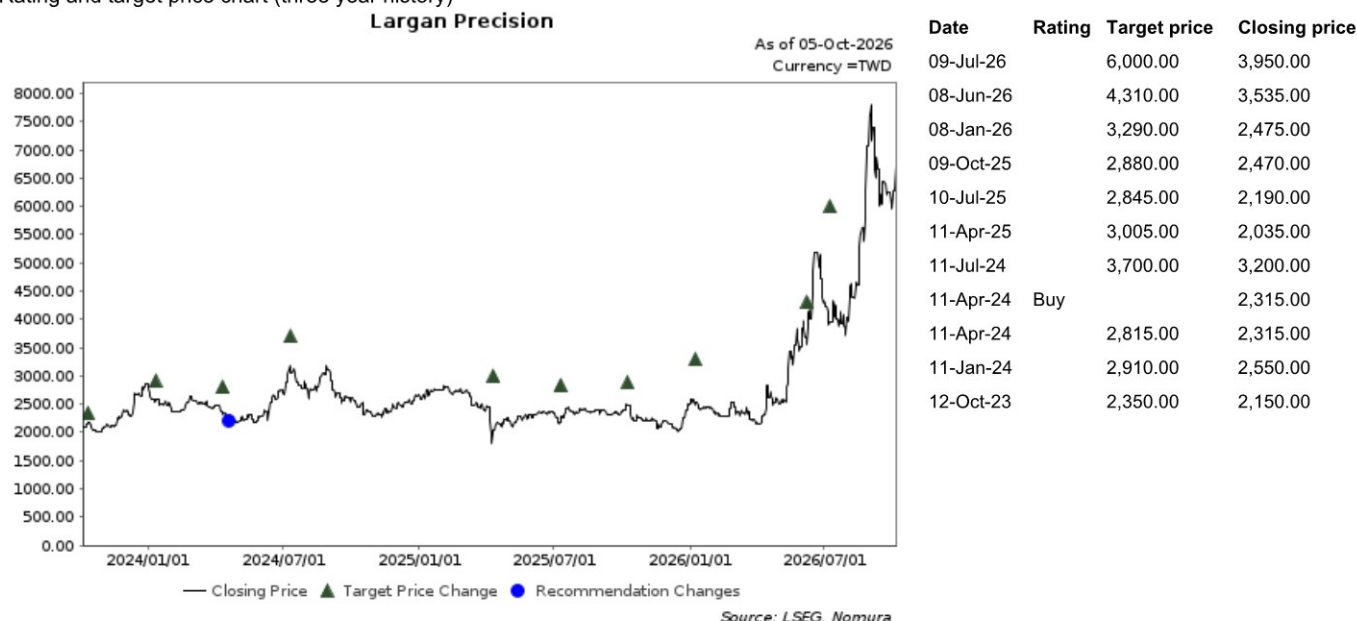
Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Largan Precision	3008 TT	TWD 6,730.00	05-Oct-2026	Buy	N/A	
Genius Electronic Optical	3406 TT	TWD 1,055.00	05-Oct-2026	Buy	N/A	

Largan Precision (3008 TT)

TWD 6,730.00 (05-Oct-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of TWD8,300 is based on 30x 2028F EPS of TWD276.7. Our target P/E of 30x exceeds the high end of the stock's historical trading band (10-25x) since 2015. The benchmark index for the stock is TAIEX.

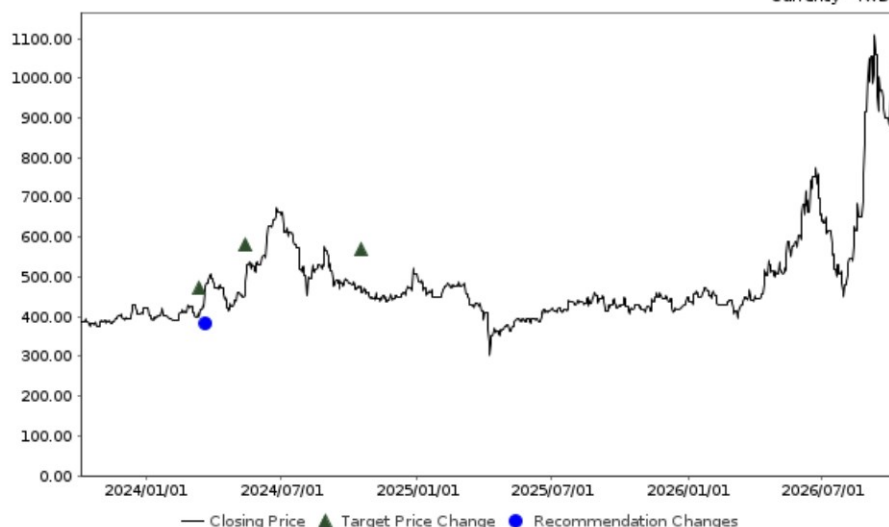
Risks that may impede the achievement of the target price Downside risks: 1) weaker-than-expected sales of iPhones and Android phones; 2) level of inventory correction by Chinese customers; 3) higher-than-expected ASP/margin erosion; 4) slower-than-expected spec upgrades; 5) increased competition, causing market share loss; and 6) worse-than-expected production yields.

Genius Electronic Optical (3406 TT)

TWD 1,055.00 (05-Oct-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)

Genius Electronic Optical

As of 05-Oct-2026
Currency = TWD

Source: LSEG, Nomura

Date	Rating	Target price	Closing price
17-Oct-24		568.00	475.50
14-May-24		582.00	488.50
13-Mar-24	Buy		398.50
13-Mar-24		472.00	398.50

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of TWD1,415 is based on 25x 2028F EPS of TWD56.6. Our target P/E of 25x is near the high end of Genius' historical range of 10-30x since 2020. The benchmark index for this stock is TAIEX.

Risks that may impede the achievement of the target price Downside risks are: 1) worse-than-expected iPhone demand, 2) rising ASP pressure due to competition, 3) worse-than-expected progress in market-share gain in iPhone rear cam lenses, and 4) slower-than-expected penetration into other Android customers.

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As at 30 September 2026.

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STOCKS

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